

TAXATION, GST, FINANCE COMMISSION AND FISCAL FEDERALISM

Economy Topic 10 | verified through 9 September 2026

1/12 TAX PRINCIPLES

- Tax base + rate -> liability
- Statutory incidence != economic incidence
- Equity | efficiency | certainty | simplicity
- Buoyancy includes policy change; elasticity excludes it

2/12 CONSTITUTIONAL POWER

- Art 246: Seventh Schedule
- Art 246A: special GST power
- Art 248: residuary power subject to 246A
- Inter-State GST: Parliament exclusive

3/12 GST LEGAL LADDER

- Council recommends
- Legislature enacts
- Executive notifies within authority
- Effective date controls liability

4/12 GST SUPPLY MAP

- Supply -> place -> time -> value -> rate
- Intra-State: CGST + SGST/UTGST
- Inter-State/import: IGST
- Destination assignment through settlement

5/12 INPUT CREDIT

- Output tax - eligible input tax = net payment
- Blocked/exempt-use credit can become cost
- Zero-rated retains credit route
- Exempt/nil/non-GST are distinct

6/12 PERIMETER

- Subsumed: service tax, VAT and named covered levies
- Outside: alcohol for human consumption
- Petroleum basket awaits Art 279A(5) date
- Customs/stamp/electricity/property levies survive

7/12 COUNCIL AND COURT

- Centre weight 1/3; States together 2/3
- Decision threshold: 3/4 weighted votes
- Mohit Minerals, 19 May 2022
- Recommendations persuasive, enacted law binding

8/12 CURRENT GST

- Most rate changes: 22 Sep 2025
- Broad: 5 merit | 18 standard | 40 special
- Compensation cess specified entries nil: 1 Feb 2026
- Always check item notification

9/12 COMPLIANCE

- Registration threshold != composition threshold
- Invoice-return-credit data chain
- Inversion -> credit accumulation/refund issue
- Fake invoice -> wrongful ITC network risk

10/12 DIRECT TAX

- Income-tax Act 2025 + Rules 2026
- Commenced 1 Apr 2026
- Personal | company | capital gains
- TDS/TCS = collection + information + credit

11/12 FINANCE COMMISSION

- Arts 280-281
- Vertical: Union versus States
- Horizontal: among States
- Art 275 grants; Art 282 public-purpose grants

12/12 XVI-FC 2026-31

- Vertical accepted: 41% of divisible-pool net proceeds
- Weights: 42.5 income distance; 17.5 population
- 10 each: demography, area, forest, GDP contribution
- Council != Commission != Budget

FINAL ANSWER SPINE

Power -> law -> recommendation -> notification -> administration
-> incidence -> devolution/grants -> equity, efficiency and federal trust

Keep GST Council, Finance Commission and Union Budget distinct.